

THE CRISIS OF CAPITALISM

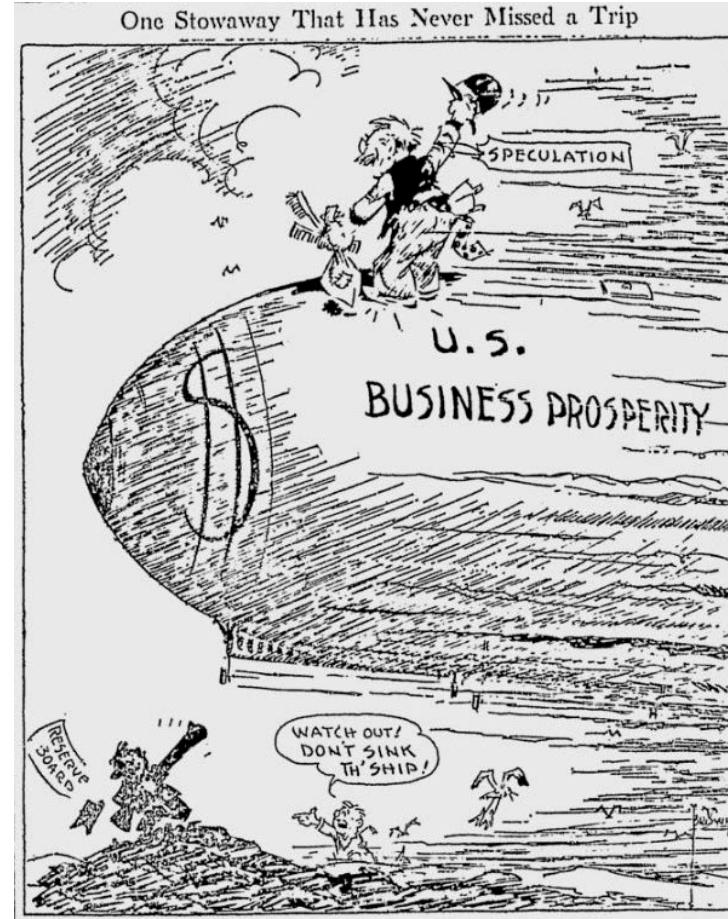
PART 1

Alfani-Colli 10.2 -10.3
Part of Feinstein et al. Chapter 8

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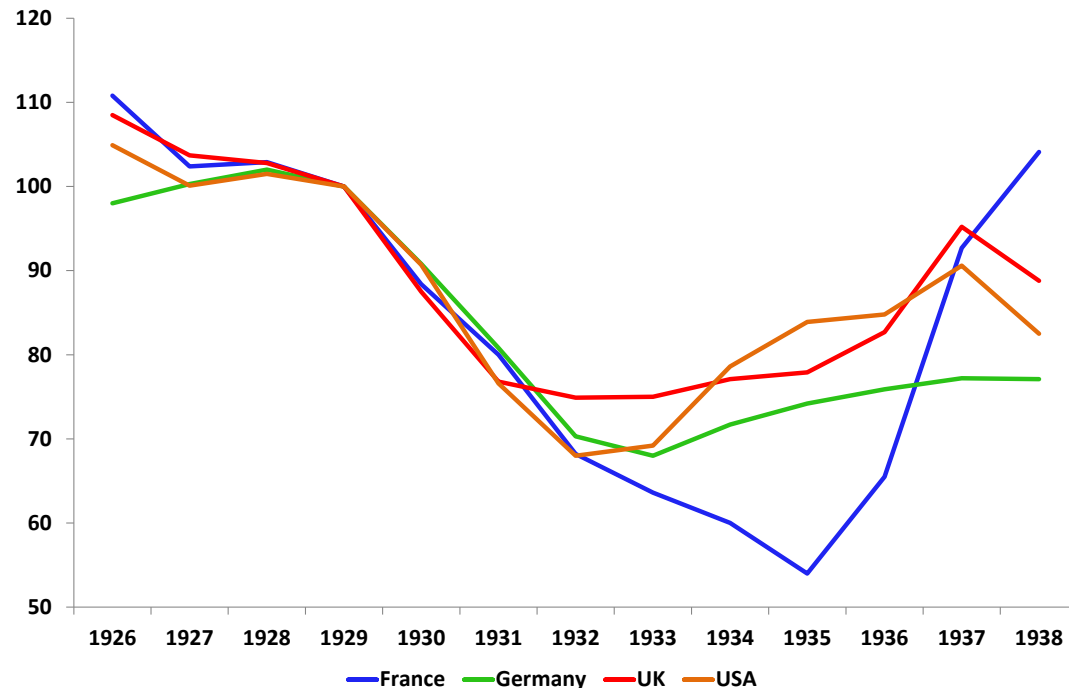
IN THIS CLASS

- The Course of the Crisis
- Propagation of the Great Crisis
- Economic consequences of the Great Crisis



THE BACKGROUND...

Wholesale price index (1929 = 100)



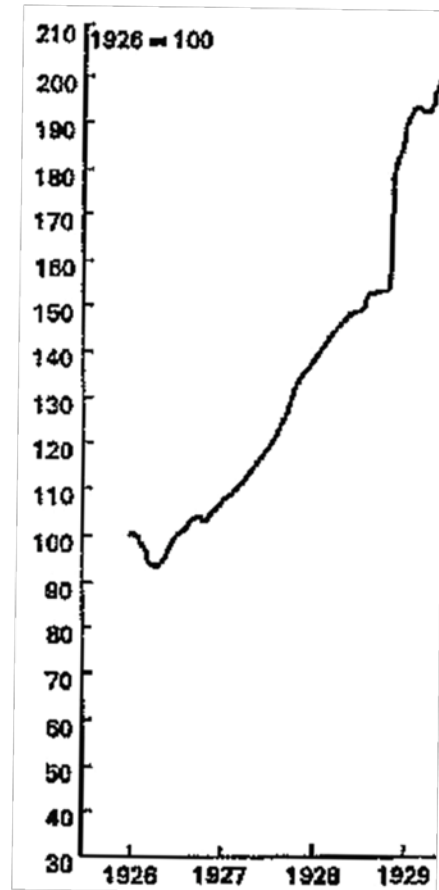
- In the United States, the signs of the impending outbreak of an economic crisis were evident in 1928:
 - prices began to fall (indicating the existence of overproduction problems in many industries)
 - agriculture came to a standstill
 - the construction sector slowed down

WHY?

Source: League of Nations, Statistical Yearbook 1937-38

THE BACKGROUND...THE GREAT BULL MKT

NYSE market index



- But the very same time:
 - profits continued to grow
 - access to credit was not expensive
 - much of the financial wealth took the path of speculative investments
 - speculative investments abounded on the stock market

Source: Kindleberger (1986), *The World in Depression, 1929-1939*

THE GREAT BULL MKT ...THE BUBBLE

- The crash was the result of a structural weakness in the US credit system.
- The US banking system was characterised by the presence of many credit institutions that were not controlled by the Fed (= Federal Reserve = US Central Bank)
- The stock market system was constantly expanding due to:
 - speculation by large operators
 - high appetite for risk (easy credit)
 - investment trusts operating with few rules and little transparency

The vitality of the stock market had spread **the perception that the economy was healthy** but in reality the value of share prices was not linked to the ability of companies to produce profits....

WALL STREET CRASH OF 1929

To avoid the worst, the Fed **raised interest rates** to bring stock market speculation under control

The result was:

- the attraction of new capitals to New York
- weakening the gold stock on European countries

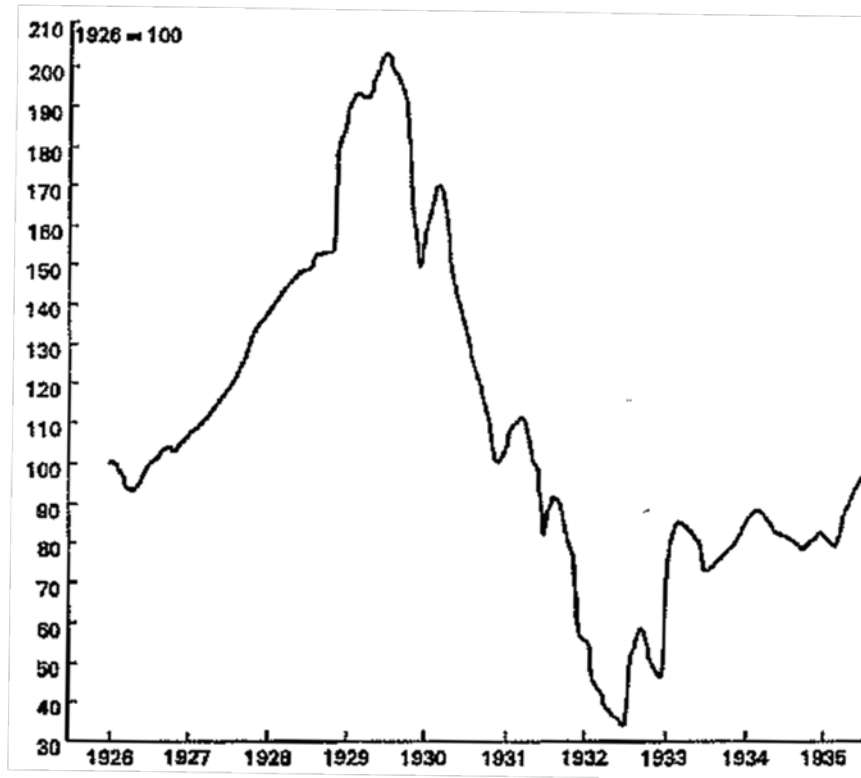
On 24 October and 29 October 1929 two waves of selling on the Wall Street stock market brought the system to its knees.

LIQUIDITY RACE

Cause or Result?



NYSE market index

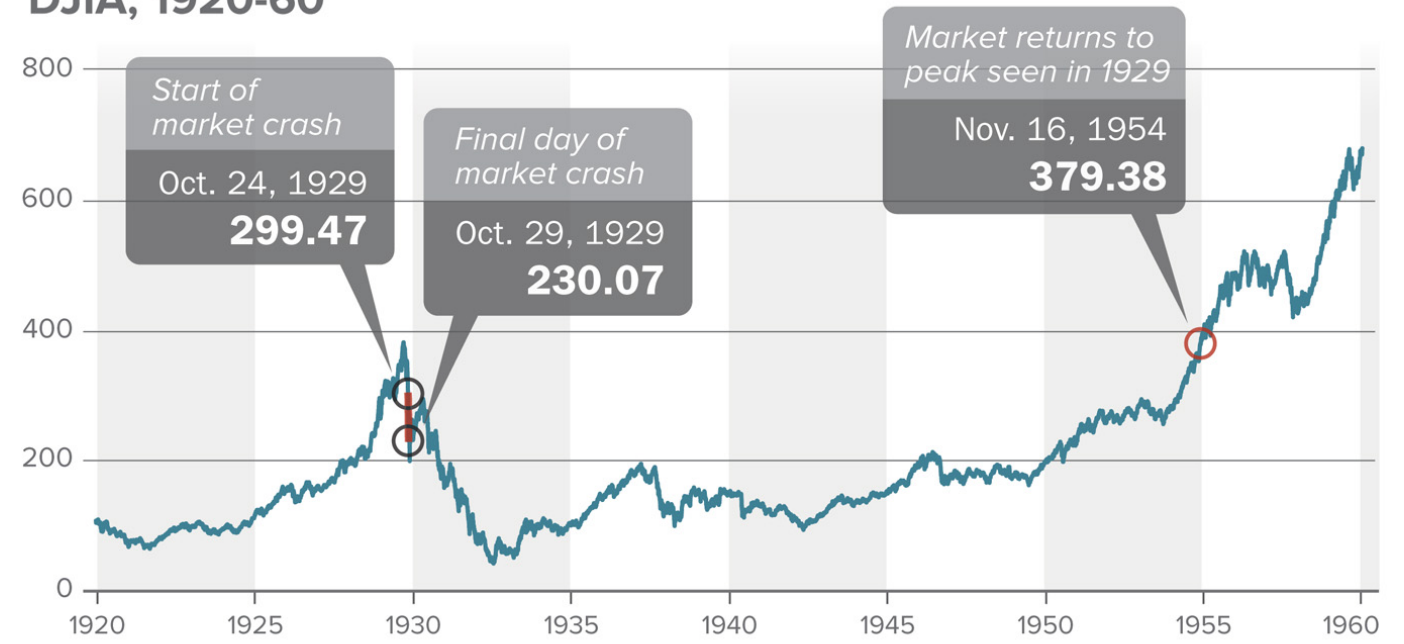


Source: Kindleberger (1986), *The World in Depression, 1929-1939*

Charting the 1929 market crash

The Dow Jones Industrial Average index soared in the late 1920s, before plummeting in 1929. The market continued to drag and didn't truly recover from the Crash of 1929 until after World War II.

DJIA, 1920-60



Source: Bloomberg

Ed Yozwick/Post-Gazette

WALL STREET CRASH OF 1929

- The **withdrawal of capital** from the New York market was tumultuous and involved both American and foreign investors.
- Many companies feared the worst and started a **liquidity race** and began to cut their spending.
- **Production collapsed** dramatically:
 - in the automobile industry, for instance, it went from 440.000 units in August 1929 to 92.500 in December on the same year.

As economic conditions deteriorated, firms found it increasingly difficult to repay their debt.

- Banks then:
 - called in their loans → further difficulties for firms
 - experienced bank runs from depositors → liquidity/solvency at risk
 - failed
 - net loss for the economy (the banks' role as intermediaries was lost)
 - loss of savings for depositors

WALL STREET CRASH OF 1929

The immediate consequence were

- The fall of American prices
- The stop of international trade
→ reduced by 70%

→ The crisis reached Europe

Commercial Balance was at risk:

- Introduction of new tariffs → protectionism
- Reduction of production

Table 6.1 World trade, 1929–1932 (index numbers, 1929 = 100)

	1929	1930	1931	1932
1. Value at current prices ^a	100	80	57	39
2. Export volume	100	93	85	74
3. Export price	100	86	67	52

(a) Index of the value of exports by seventy-five countries measured in pre-devaluation U.S. gold dollars.

Source: League of Nations (1939a), 8.

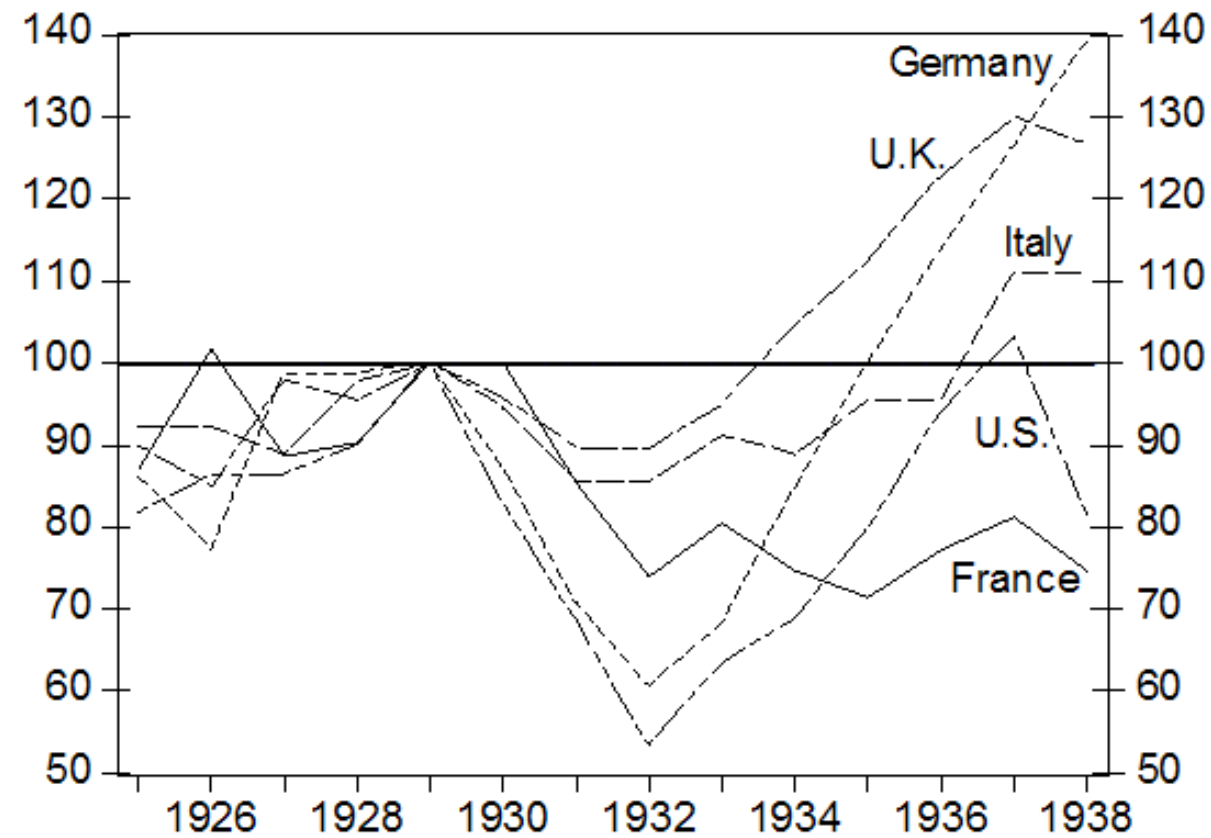
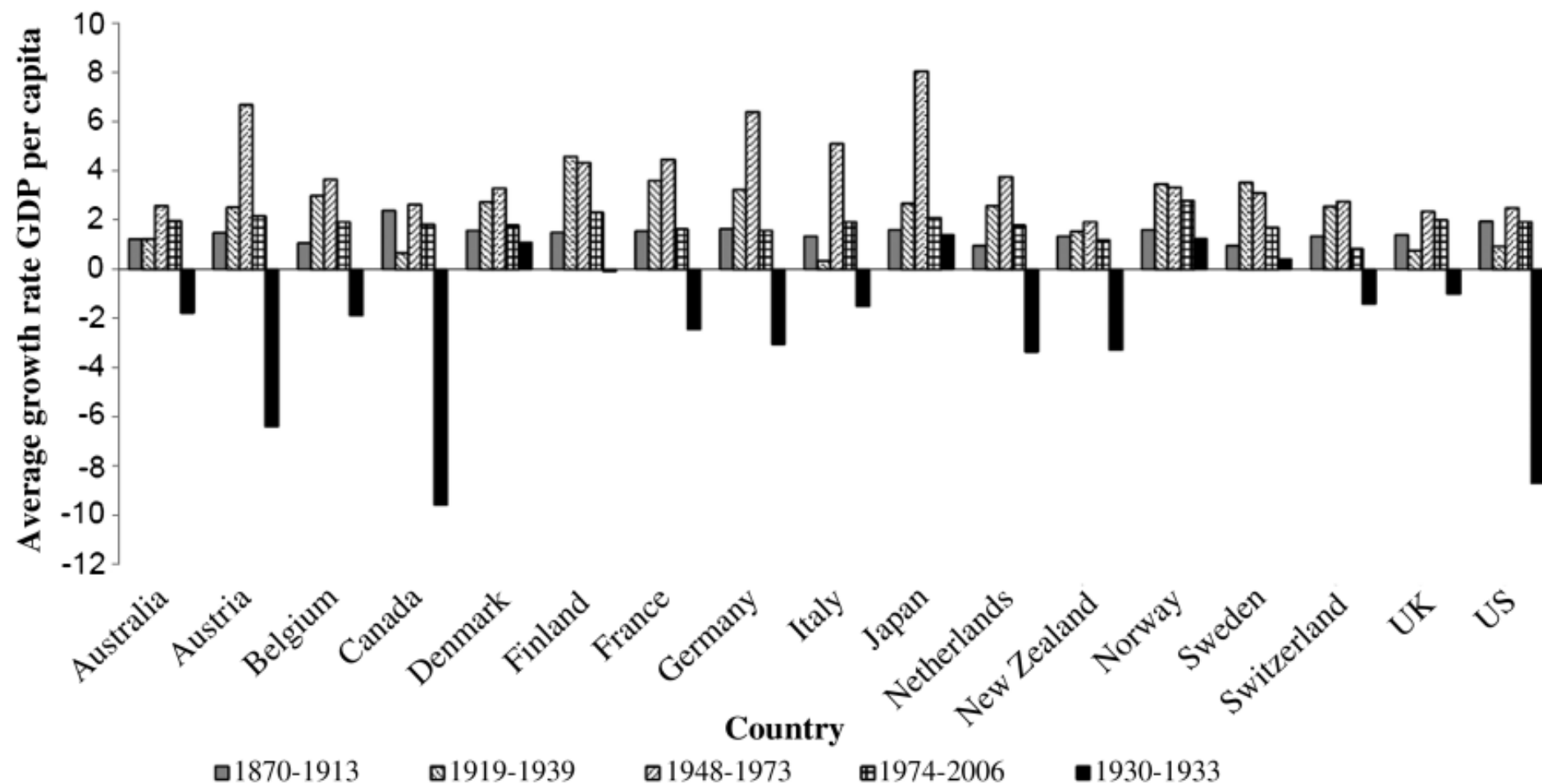


Figure 6. International industrial production,
1929 = 100

Source: Steindl, Frank. "Economic Recovery in the Great Depression", 2008

Figure 1: Average growth rates of GDP for 17 countries by period, 1870–2006



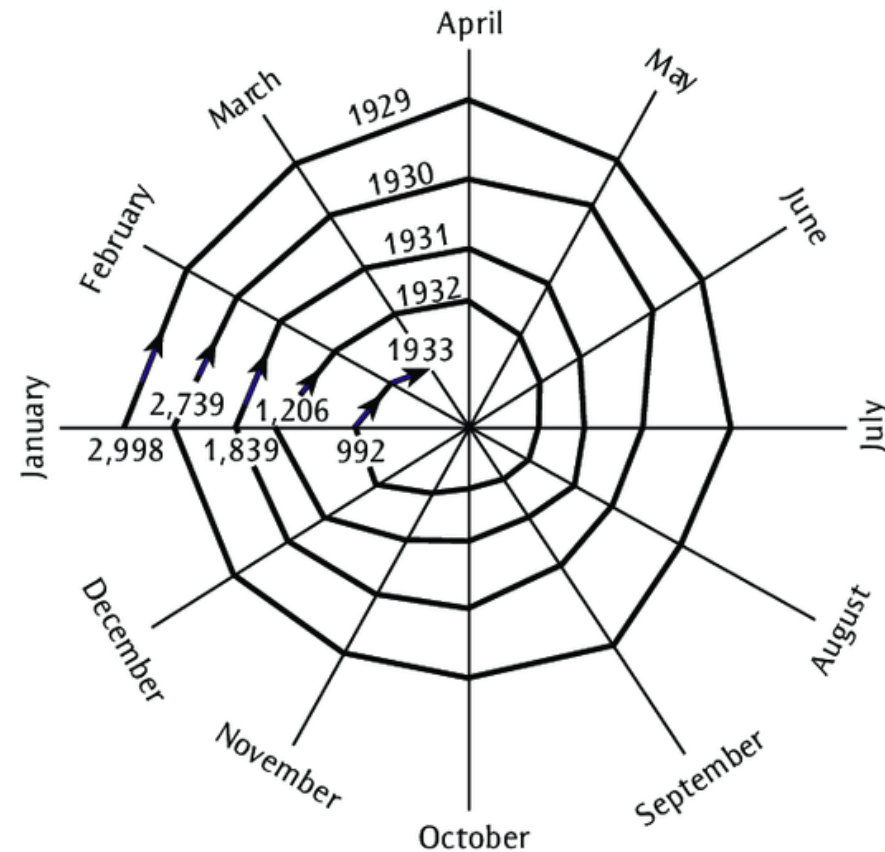
Source: Maddison (2009).

THE GREAT DEPRESSION: TRADE

World trade decline during the Great Depression (in US\$ m)

Why protectionism?

Bilateral Clearing agreement to control the commercial balance and to avoid that currency would leave the country.



....USA INTEREST RATES IN THE LATE 1920s

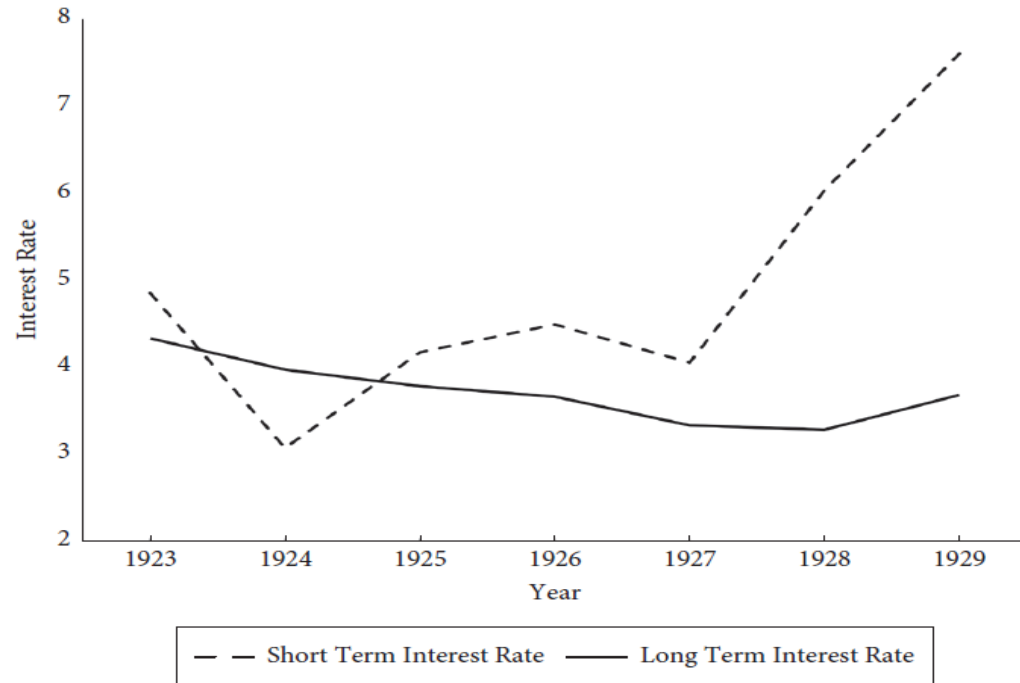


Figure 9.3 US Interest Rates, 1923–1929

Source: Author's calculations based on data in Jordà, Schularick, and Taylor (2021)

But rising the interest rates in the main capital exporter has consequences on the balance of payments of capital importing countries...

USA increase interest rate to curb stock market boom:

1. Interest rate hike contributed to initial (mild) domestic US recession
 - consumer credit in the 1920
2. It jeopardised the delicate equilibrium of European countries' gold standard

GREAT DEPRESSION AND GS

- After WWI and in the 1920s, most European countries had a trade deficit. Still, they went back to Gold Standard.
- But trade deficit is just one component of balance of payments (current account)
- A balance of payment can be “balanced” even if the current account is in deficit. How?
 - **With a surplus in the capital account!** I.e. imports of goods > exports of goods, but imports of capital > exports of capital
 - How to attract capital? High interest rates, or at least higher interest rates than capital export countries
- If you have a trade deficit and you cannot attract capital:
 - ✓ Deflation and restore competitiveness
 - ✓ Drain your reserves (i.e. outflow of gold from the country)
 - ✓ Suspend convertibility (abandon Gold Standard)

THE TRANSMISSION TO EUROPE?

- If the USA is in recession, this affects Europe because the USA will import less European goods, but that's not all:
 - The equilibrium of (many) European balance of payments was based on US exporting capitals
 - Furthermore, German growth was relying on US capital exports, and Germany was key for European growth
 - This system relied on the fact that interest rates were higher in Germany and in Europe than in the USA
 - When the USA raise the interest rates, the capital flow stops... because now it is as profitable to invest money in the US economy
 - However, German economy had its own domestic problems and was already heading towards a recession anyway. The capital inflow stop worsened the situation

GREAT DEPRESSION: DEFLATION

Particularly pernicious was deflation, i.e. the protracted decline in prices:

- in industrial countries it discouraged investment and postponed consumption
- in primary goods-producing countries it caused export revenues to plummet and made it more difficult to pay foreign debt
- more generally, deflation weakened the ability of debtors to repay debt, causing problems for creditors and the banking system
- in the relatively interdependent world of the 1920s, the slowdown of one economy affected the others in a downward spiral

THE GREAT DEPRESSION:



- In Europe the crisis became particularly intense in 1931.
- Financial panic spread in the wake of the bankruptcy of the Austrian *Credit Anstalt* and the German currency crisis.
- The reaction to the crisis was **uncoordinated and disjointed**.

Each government took its own decisions unilaterally, without thinking about the (possible) repercussions on other parties.

- In September 1931 Great Britain abandoned the gold standard
- In 1932 it abandoned free trade by adopting the so-called 'imperial preference' (Ottawa Conference).

The protectionist spiral contributed to the collapse of world trade and pushed many countries towards forms of autarchy.

WHY DID BRITAIN LEAVE GOLD?

UNDERLYING STRUCTURAL WEAKNESSES:

Balance of Payments Problems:

- Sterling overvalued by about 10% due to 1925 return to pre-war parity
- Collapse in export earnings (volume of exports 20% below 1913 level)
- Current account: persistent deficits
- Capital account: heavy short-term liabilities offset against long-term assets
- Colonies and dominions drawing down sterling balances due to falling commodity prices

Domestic Factors:

- High budget deficit raised concerns about financial stability
- Bank of England's gold reserves insufficient relative to short-term liabilities
- Government unwilling to impose further deflation given high unemployment



THE LAUSANNE CONFERENCE OF 1932

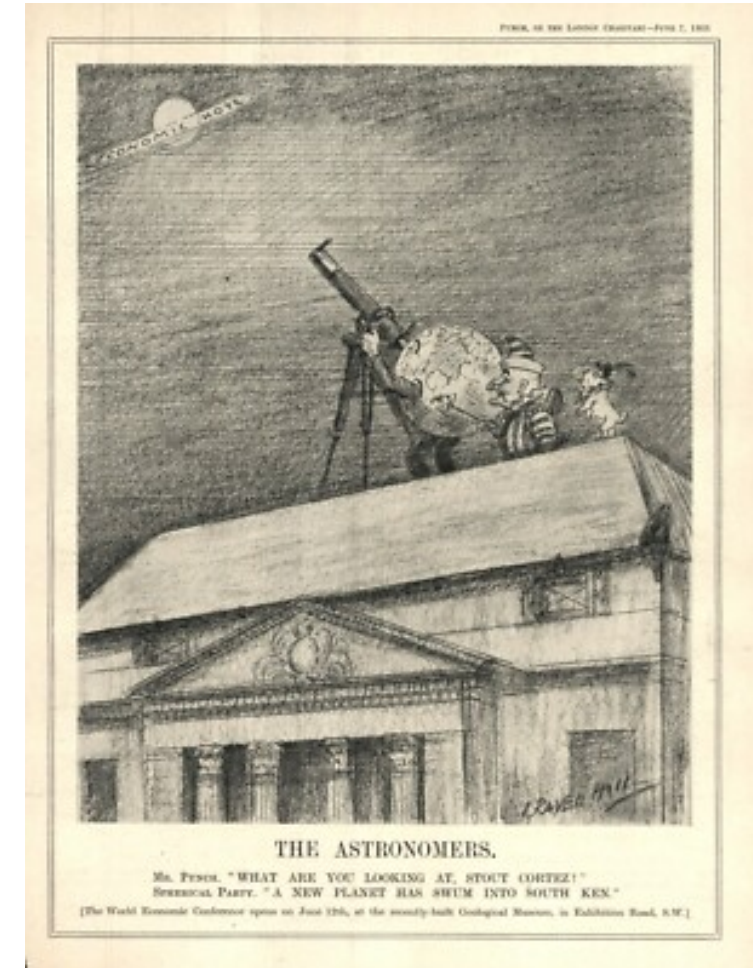
Europe was crippled by debt and economic collapse.

- Germany could no longer meet its World War I reparations, and earlier attempts.
- In June 1932, the major European powers gathered in Lausanne to seek a lasting solution:
 - France insisted on maintaining its right to reparations, fearing domestic backlash.
 - Britain and Italy supported Germany's demand for cancellation, arguing that Europe's recovery depended on relieving Germany's burden.
- The United States, while not directly part of the reparations system, refused to negotiate war debts, undermining any broader agreement.
- The resulting Lausanne Convention effectively ended German reparations. Germany was to deposit bonds worth 3 billion marks, but these were never issued.

THE LONDON CONFERENCE OF 1933

In 1933, representatives from 66 nations gathered in London to restore global economic stability through currency cooperation, trade revival, and recovery policies.

- **France and other gold-standard countries:**
 - wanted to stabilize exchange rates and return to gold
- **Britain, having devalued sterling in 1931:**
 - sought flexible exchange policies to boost trade
- **The United States, under President Franklin D. Roosevelt:**
 - prioritized domestic recovery through inflationary policies and rejected a premature return to gold



THE LONDON CONFERENCE OF 1933



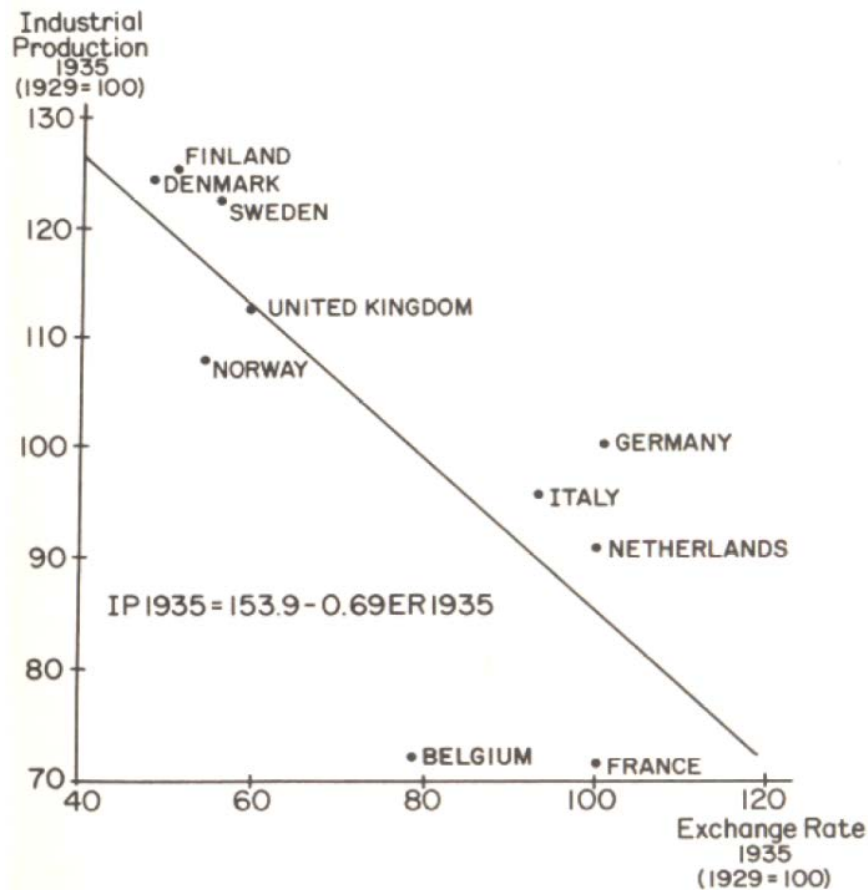
- Negotiators initially reached a secret agreement to stabilize the dollar, pound, and franc.
 - Then details leaked and Roosevelt repudiated the plan, sending his famous “bombshell message” to London.
- “The sound internal economic situation of a nation is a greater factor in its well-being than the price of its currency.” — F.D. Roosevelt**
- The conference collapsed, and international cooperation disintegrated.
 - Nations turned inward, forming separate economic and currency blocs (the Sterling Area, Gold Bloc, and Nazi-controlled economies).
 - The dream of coordinated recovery gave way to economic nationalism and de-globalization.

RECOVERY AND GOLD STANDARD

Annual rates of real GDP growth (%)

1913–1950		1913–1929		1929–1938	
		<i>WWI neutrals</i>		<i>Off gold in 1931</i>	
Austria	0.2	Sweden	1.9	UK	1.9
Belgium	1.0	Finland	2.4	Denmark	2.2
Germany	1.1	Denmark	2.7	Sweden	2.6
France	1.2	Switzerland	2.8	Norway	3.1
UK	1.3	Norway	2.9	Finland	3.9
Italy	1.5	Netherlands	3.6		
Netherlands	2.4			<i>Gold bloc</i>	
Denmark	2.5	<i>WWI winners</i>		France	−0.4
Switzerland	2.6	UK	0.7	Belgium	0.0
Finland	2.7	Belgium	1.4	Netherlands	0.3
Sweden	2.7	Italy	1.7	Switzerland	0.6
Norway	2.9	France	1.9	Italy	1.6
		<i>WWI losers</i>		<i>Other</i>	
		Austria	0.3	Austria	−0.3
		Germany	1.2	Germany	2.5
<i>Extra-Europe</i>				United States	−0.6
Japan	2.2	Canada	2.5	Canada	0.0
United States	2.8	Japan	3.7	Japan	3.6
Canada	2.9	United States	3.1		

GOLD STANDARD AND GREAT DEPRESSION



- The refusal to provide liquidity to banks to protect fixed exchange rates led to more bank failures than they could have been.
- UK (1931), USA (1933), Scandinavia: with devaluation there is an adjustment of prices and wages that reabsorbs unemployment and stimulates growth.
- The intransigent 'gold bloc' (France, Italy, Belgium, Holland) up to 1935-36 experienced persistent stagnation and unemployment.

WALL STREET CRASH OF 1929 AND GREAT DEPRESSION: EFFECTS

Unemployment was certainly the most serious problem.

- 26% unemployed → 20% of them access to aid
- 20% of schoolchildren were malnourished

Insecurity and unemployment translated into a risk for democracy

F.D. Roosevelt the governor of New York
Realised the scale of poverty
Increased taxation on highest incomes

Unemployment rates in some countries (%)

	1921–1929	1930–1938
<i>Group I</i>		
Denmark	18.7	21.9
Norway	16.8	26.8
Sweden	14.2	16.8
United Kingdom	12.0	15.4
<i>Group II</i>		
Australia	8.1	17.8
Belgium	2.4	14.8
Canada	5.1	18.5
France	3.8	10.2
Germany	9.2	21.8
Netherlands	8.3	24.3
United States	7.7	26.1

Source: Galenson and Zellner (1957).